



SCHEME DETAILS

► TAX BENEFITS UNDER SECTION 80C OF THE EARLIER INCOME TAX, 1961, ARE AVAILABLE ONLY TO THOSE UNDER THE OLD INCOME TAX REGIME

► BUT INTEREST AND MATURITY AMOUNTS UNDER PPF AND SUKANYA SAMRIDDHI SCHEME ARE STILL TAX EXEMPT

► INTEREST RATES ARE RESET QUARTERLY. FOR Q1FY27, PPF OFFERS 7.1% INTEREST,

SUKANYA SAMRIDDHI 8.2%, 5-YEAR NSC 7.7%

► INTEREST RATES ON SCHEMES HAVE REMAINED UNCHANGED FOR OVER EIGHT CONSECUTIVE QUARTERS

► THERE ARE CAPS ON MINIMUM AND MAXIMUM INVESTMENTS; THE SCHEMES TEND TO HAVE A LOCK-IN PERIOD

SCHEME	INTEREST RATE (%)
Savings Account	4
5-Year Senior Citizens Savings Scheme	8.2
5-Year Monthly Income Account	7.4
5-Year National Savings Certificate	7.7
Public Provident Fund	7.1
Sukanya Samriddhi Accounts	8.2
Kisan Vikas Patra	7.5*

NOTE * WILL MATURE IN 115 MONTHS

SOURCE FINANCE MINISTRY

preferred investment choice as equity markets gathered momentum and products like mutual funds and systematic investment plans as well as newer investment options like gold, crypto, and real estate offered much higher returns. Along with that, the switch to the new income tax regime that offered no exemptions but lower tax slabs, also somewhat reduced the attractiveness of these schemes.

Returns on these schemes have been unchanged for over eight consecutive quarters. The Shyamala Gopinath Committee, constituted to study small savings schemes, had suggested a market-linked formula for interest rates for small savings which should be 25

to 100 basis points higher than the average yield on government securities of the same maturity for the previous quarter.

However, to protect small investors from very low returns, the government often also chooses to keep the interest rates artificially high.

Government sources have often pointed out that the post tax returns on these schemes continues to be much higher compared to several other schemes, which is an advantage for small savers. For the exchequer, small savings can be a costly outgo as it means a higher cost for interest rates and then borrowing from the NSSF at a higher rate.